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Safe Crypto Payments with
Smart-Contract Escrow

Shake Defi

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1. Executive Summary

Digital assets have achieved global scale — but trust has not. While blockchain enables instant, borderless value transfer, it does not natively protect buyers and sellers in high-value transactions. Funds are irreversible by design. Counterparty risk is real. And institutional adoption remains cautious.

Shake Defi solves this structural gap.

We have built programmable, compliant escrow infrastructure for cryptocurrency payments — enabling secure, conditional, and transparent transactions across mobile platforms. Shake Defi transforms blockchain from a speculative tool into a trusted commercial settlement layer, accessible to anyone, anywhere.

2. Market Opportunity

The opportunity is substantial and accelerating:

- More than 400 million cryptocurrency users globally
- Trillions of dollars in annual stablecoin settlement volume
- \$190T+ global cross-border payments market
- Rapid growth in remote work, digital services, and peer-to-peer commerce

Yet large-value crypto transactions still lack institutional-grade protection. As digital assets transition from trading to everyday commerce, the need for escrow-native infrastructure becomes inevitable. Shake Defi positions itself at the intersection of stablecoins, cross-border commerce, and programmable finance.

3. The Problem

Cryptocurrency transactions are irreversible by design. For buyers and sellers engaging in high-value exchanges — vehicles, real estate, freelance projects, marketplace goods — this creates three serious barriers:

- Counterparty risk: either party can disappear with funds or goods
- Fraud exposure: no recourse once payment is sent
- No enforceable conditions: crypto moves unconditionally, with no built-in delivery verification

Traditional escrow services exist but are slow, geographically limited, and expensive — charging hundreds of dollars per transaction while requiring banks or certified intermediaries. Card-based payment processors add a further 2.5–3.5% fee on every transaction, costs that merchants either absorb or pass on. Direct crypto transfers are fast but unprotected. The result is stalled transactions, eroded margins, and limited real-world commercial adoption.

4. The Solution: Programmable Escrow

Shake Defi embeds conditional escrow logic directly into blockchain transactions, giving both parties full protection without relying on banks, legal systems, or business hours.

How It Works

The process is designed around two roles. The merchant sets the escrow period — the window during which the buyer may raise a dispute — typically based on the nature of the goods or service and agreed with the buyer in advance. The buyer then deposits funds through the app, locking them into the smart contract. When the escrow period expires without an approved refund, funds are released to the merchant automatically. No manual action is required, and no bank or intermediary is involved in the release.

- Buyer and seller agree on transaction terms, including an escrow duration between 0 and 180 days
- The buyer deposits funds, which are locked in a smart contract on the Ethereum Base network
- The seller delivers the product or service
- After the escrow period ends, the seller collects payment through the app
- If there is an issue, the buyer can open a dispute and request a refund; the seller may also issue a refund voluntarily
- Shake Defi serves as a neutral arbiter; if a refund is approved, the smart contract automatically returns funds to the buyer

This structure eliminates reliance on personal trust while maintaining blockchain speed and transparency. No private keys are required — users authenticate with familiar credentials and transact through an embedded wallet powered by Coinbase.

5. Technology Architecture

Shake Defi is built on Ethereum Base, a Layer 2 network that provides Ethereum-level security with significantly lower fees and faster transaction finality. The core of the platform is a suite of auditable smart contracts that handle all fund custody, condition enforcement, and settlement logic autonomously.

Key architectural elements include:

- Smart-contract escrow deployed on Ethereum Base (Layer 2) for speed and cost efficiency
- Support for both USDC stablecoin and native ETH, allowing users to transact with or without price volatility exposure
- Embedded wallet integration via Coinbase — users never manage private keys
- Paymaster sponsorship so users can transact without needing to hold separate gas tokens
- KYC/AML identity verification powered by Persona, ensuring regulatory compliance
- Integrated fiat onramp (bank or debit card to crypto) and offramp (crypto to bank) via Coinbase
- Currency swapping via Rubic, enabling payments in Bitcoin, Cardano, XRP, Staked ETH, USDC, or ETH
- Photo and document upload capabilities for transaction verification
- Modular API framework for enterprise and marketplace integration

The architecture is designed for scalability, auditability, and regulatory adaptability. Shake Defi never takes custody of user funds — all assets are held exclusively by the smart contracts until conditions are met.

6. Competitive Positioning

Shake Defi uniquely combines the speed and decentralization of native crypto with the protections buyers and sellers expect from institutional services.

	Direct Crypto	Traditional Escrow	Shake Defi
Settlement Speed	Instant	Days–Weeks	Instant
Automation	None	Manual	Smart Contract
Global Reach	Yes	Limited	Yes
Fraud Protection	None	Yes	Yes
Fees	Low	\$100s+	0.1%
Blockchain Native	Yes	No	Yes

No existing solution offers all five dimensions simultaneously. Traditional escrow is trusted but slow and expensive. Direct crypto is fast but unprotected. Shake Defi is the only platform that is

fast, automated, globally accessible, fraud-protected, and blockchain-native — at a fraction of the cost.

The fee advantage is most visible when compared to card-based payment processing. Credit and debit card processors typically charge merchants 2.5–3.5% per transaction — a cost embedded in nearly every consumer purchase. Shake Defi's escrow fee is 0.1%, representing a reduction of approximately 95% relative to standard card processing rates. For merchants processing significant transaction volume, this difference compounds materially over time.

7. Business Model

Shake Defi operates as a transaction-based infrastructure provider. Revenue is earned through:

- Escrow transaction fees — 0.1% per transaction, compared to hundreds of dollars charged by traditional services
- Enterprise API integrations — embedding escrow capabilities into digital marketplaces and commerce platforms
- Premium verification services for high-value or regulated transaction categories
- Institutional settlement solutions for fintechs, exchanges, and cross-border payment providers

The model is capital-efficient, scalable, and aligned with increasing transaction volume rather than speculative token appreciation. As the broader crypto payments market grows, Shake Defi grows with it.

8. Go-To-Market Strategy

Phase 1 — High-Value Peer-to-Peer Transactions

Initial focus on use cases where trust matters most: vehicle sales, high-value goods, contractor payments, and freelance services. Crypto-native users and OTC traders represent an early, motivated audience that already understands the need for transaction protection.

Phase 2 — Marketplace and Platform Integration

Embed Shake Defi's escrow API into digital commerce platforms, enabling any marketplace to offer crypto payment protection as a built-in feature. Sellers gain a new, lower-cost payment rail; buyers gain confidence. Shake Defi becomes invisible infrastructure powering trusted transactions.

Phase 3 — Institutional Partnerships

Partner with fintechs, cryptocurrency exchanges, and cross-border payment providers to deliver institutional-grade escrow at scale. Enterprise clients gain a compliant, auditable settlement layer that works across borders and currencies.

The positioning is clear: Shake Defi is not a token experiment — it is payment infrastructure.

9. Use Cases

Shake Defi is optimized for any transaction where value is significant and trust cannot be assumed:

- Peer-to-peer vehicle sales — private car buyers and sellers complete high-value transactions without wires, banking delays, or fraudulent reversals
- Freelancers and contractors — clients lock payment before work begins; funds release upon delivery
- Online marketplaces — buyers and sellers on any platform gain chargeback-equivalent protection without credit card fees
- Merchants accepting crypto — businesses accept cryptocurrency instantly while avoiding fraudulent reversals, with the same protections as card payments
- Cross-border services — global freelancers and clients transact across currencies with automatic conversion and built-in escrow

For vehicle dealerships and private sellers, Shake Defi's non-custodial escrow allows crypto to be accepted instantly while eliminating the fraud and settlement risks associated with wires or checks.

10. Vision

Stablecoins are becoming the digital dollar of the internet. As trillions of dollars move on-chain annually, programmable trust will be foundational infrastructure — as essential as payment gateways were to e-commerce in the 2000s.

Shake Defi aims to become the default escrow layer for blockchain commerce — enabling secure global transactions without friction, fear, or intermediaries.

Hundreds of millions of people hold cryptocurrency but few use it for everyday commerce, due to risk, volatility, and lack of recourse. Shake Defi adds a secure, automated escrow layer that protects both sides of every transaction. The result is a payment experience that feels as safe and familiar as a credit card — without high fees or chargeback fraud.

11. Strategic Partnerships & Platform Approvals

Shake Defi's architecture depends on best-in-class infrastructure partners. As described in Section 5, seamless movement between fiat currency and on-chain assets is a core requirement for mainstream adoption. Users must be able to fund their wallets from a bank account or debit card and withdraw back to fiat without friction — all within the Shake Defi app experience.

To deliver this capability, Shake Defi applied for and received official approval from Coinbase to integrate the **Coinbase Onramp & Offramp** product into our platform. This approval grants Shake Defi direct, compliant access to Coinbase's fiat-to-crypto and crypto-to-fiat payment rails — enabling users to fund escrow transactions directly from a bank account or debit card, and to receive settled funds back in local currency, without ever leaving the app.

This integration removes the single largest adoption barrier for non-crypto-native users: the complexity of acquiring and managing digital assets. With Coinbase Onramp & Offramp embedded natively, any user with a bank account can participate in Shake Defi's escrow infrastructure — no prior crypto experience required. The approval letter from Coinbase's Developer Platform is reproduced below.

Crypto has achieved liquidity. Now it requires trust infrastructure.

Shake Defi is building that foundation.

“Shake on it, with cryptocurrency.”